



‘Queenfisher’ Beer

Can The Queen of Good Times Foster Diversity and Inclusion?

Case Study

This case was written by **Joel Sarosh Thadamalla** and reviewed by **Dr. A. Saravanan Naidu**, Amity Research Centers Headquarter, Bangalore. It is intended to be used as the basis for class discussion rather than to illustrate either effective or ineffective handling of a management situation. The case was compiled from published sources.

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"Beer has always had that kind of potential. But it has now shattered its shell. The beer boom is on."

– Vijaya Mallya, Former Chairman of United Breweries Limited¹

"Queenfisher is our way of celebrating inclusivity and the unstoppable force of female friendship. We pop our cans, not just to celebrate women, but to honour the secret superpowers they wield in their everyday connections. Here's to the queens among us, who sparkle brighter when they shine together!"

– Vikram Bhal, CMO, United Breweries Limited

According to Claight Corporation, an enterprise of Expert Market Research (EMR) Company, a US-based market research firm, 'the Indian beer market was expected to witness a robust compounded annual growth rate (CAGR) of 9.2% during the period 2024 to 2032 and reach a value of ₹789.41 billion by 2032 from about ₹442.4 billion in 2023'. EMR further noted that 'the key driving factors included economic growth, changing lifestyles, sizeable young Indian population inclined towards beer consumption, rising disposable incomes, increased discretionary spending, and growing urbanisation. In addition, to expanding the craft beer industry (unique and premium options) and growing awareness of different types of beer as well as appreciation for flavours'. EMR further noted that the growth of e-commerce platforms facilitated easy access to a wide variety of beer brands and the online sales of alcoholic beverages, including beer, witnessed a surge. The discretionary spending and consumers willingness to spend on premium and imported beer prompted international beer brands to tap the emerging opportunities in India.

The Indian beer market was typically segmented into categories based on type of beer such as lager, ale and stout, distribution channel– on-trade and off-trade, and region– Southern India and Northern India. The key national and international players in the market included United Breweries Holdings Limited (UB), Carlsberg Group, B9 Beverages Pvt. Ltd, Anheuser-Busch InBev, Devans Modern Breweries Limited, Heineken NV, SABMiller plc, Sinq Beverage Pvt Ltd., Sona Beverages Private Limited, White Rhino Brewing Co. and several others. According to NIIR Project Consultancy Services² (NPCS) the beer consumers in India were founding 'shifting their

¹ One of the largest beer manufacturers in India.

² An integrated technical consultancy services that offered reliable professional information for the entrepreneurial fraternity of India.

preferences to artisanal brews, new fresh flavors and unique local ingredients', particularly 0% beer, from regular mainstream bottled beers forcing the market players to engage consumers, innovatively. NPCS expected the consumption of beer to reach '3,584 million liters or 459 million cases by 2024'. Megha Chaturvedi, Sr. Assistant Editor at *India Today*³ noted that 'shifting demographics, evolving consumer preferences coupled with favourable Government policies and regulatory reforms, such as microbrewery licences and relaxed excise duties, streamlined tax structures, opened investment, drove strategic partnerships and collaborations, besides encouraged entrepreneurship, fostered innovation (including brewing techniques) and market penetration'.

Kingfisher Brand: A Brief Background Note

Five breweries in southern India came together to form Castle Breweries (CB) in 1857 and later CB became UB in 1915. In 1947, late Vittal Mallya bought UB. The Kingfisher Premium (Kingfisher) beer brand was launched in 1978. Until then, Shaw Wallace Group's Haywards 5000 brand beer ruled the roost. Until the launch of Kingfisher, UB had consciously avoided strong beer segment. According to Shiv Taneja (Taneja) and Raj Chengappa (Chengappa) of *India Today*, as of 2013, the Indian population were guzzling 500 million bottles of beer which had become 'urban India's popular alcoholic drink'. Taneja and Chengappa also noted that the beer industry in 1988 was growing at 12% annually moving up from an average of 5% annually in mid-1980s.

Tracing the evolutionary map of beer marketing in India, Pradeep Gidwani (Gidwani) writing for *Brewer-World.com*⁴ noted that until 1980s mild beer brands (under 5% alcohol by volume [abv]) such as 'Kingfisher, Royal Challenge, Sandpiper, Golden Eagle' were marketed as light beers and strong beer brands (over 5% abv) comprised 'Kingfisher Strong, Hayward's 5000, Thunderbolt, and Godfather'. The entry of multinationals and foreign beer brands, the first being Fosters, in the 1990s changed the equation in the premium lager space. Over the next decade, beer brands such as 'Carlsberg, Budweiser, Tuborg, Heineken, Miller and Peroni' had made way into the Indian market. Yet, the best-known Indian beer brands were 'Kingfisher, Royal Challenge and Sandpiper'. Kingfisher was the 'King of Good Times' and was 'associated with cricket, football, fashion, everything that involved a luxurious, modern lifestyle'. Gidwani also noted that 2010 was the year of beer differentiation as Indian beer drinkers were introduced to new flavours such as Stouts, Irish Stouts, Wheat Beers, Ales, etc., different pricing and emergence of microbreweries (about 100) in across the four major cities of the country-Gurgaon, Bangalore, Pune, and Mumbai.

Soumya Gupta of *Mint.com*⁵, mentioned that 'the King of Good Times' – Kingfisher beer brand, as of 2018, was ceding its market share to premium foreign beer brands. Between 2011 and 2016, the market leader by volume, Kingfisher lost 4.3% of its market share. Kingfisher was still the market leader followed by Carlsberg's Tuborg brand with 11.1% market share, which emerged as India's second-largest beer by volume, and Haywards, now owned by Anheuser-Busch InBev, was the third-largest beer by volume share worth 10.7% (from 14.6% in 2011). In July 2021, Amsterdam-based Heineken NV (Heineken) acquired control over UB after increasing its holding in the company from 46.5% to 61.5%. Dolf Van Den Brink, Chairman and CEO of Heineken said: "UBL has a proud history dating back more than a century as an influential shaper of the beer industry in India. It built its position as the undisputed market

³ A widely circulated weekly Indian English-language news magazine published by Living Media India Limited.

⁴ A media platform for B2B and B2C stakeholders in beer and brewing industry.

⁵ An Indian business and financial daily newspaper published by HT Media, a Delhi-based media group.

leader in India with a strong network of breweries across the country and a fantastic portfolio led by its iconic Kingfisher brand family, complemented more recently by a strong HEINEKEN international brand portfolio. We are honoured to build on this legacy and look forward to working with our colleagues at UBL to continue to win in the market, delight consumers and customers and unlock future growth."

In December 2023, expecting 'mid to high single digit growth' in the beer category, Vivek Gupta (Gupta), MD and CEO at UB mentioned: "... vast opportunity for growth, considering the current low penetration of beer in both urban and rural India. My goal is to lead the category growth in India. We are fortunate to delight almost 60% of the consumers in this category, and we continue to expand our lead, bringing great innovation... There is an opportunity to have an entry-level beer, a premium beer, and even more aspirational beer and global brands in India." UB's diverse product portfolio comprised brands such as 'Kingfisher Strong, Kingfisher Premium, Kingfisher Ultra, Kingfisher Ultra Max, Kingfisher Ultra Witbier, Kingfisher Storm, Heineken®, Heineken® Silver, Amstel, and Heineken® 0.0., Kingfisher Premium Water and Kingfisher Soda'.

Diversity and Inclusion at UB

Not only that, UB, since it became the part of Heineken in 2021, had been 'actively challenging stereotypes and embracing diversity and inclusivity...' According to Tejawani Singhal (Singhal), a Journalist at *Economic Times*, "The alco-bev industry has undergone a significant transformation in recent years, with an increasing presence of women in various key roles." Singhal further noted that "women are making their mark as brewers, distillers, sommeliers, bartenders and even entrepreneurs, owning and managing their own alcohol-related businesses." Keeping with the change, UB has been 'working towards bringing more women into its ranks'.

Kavita Singh (Singh), Director – People at UB mentioned: "A lot of people tend to have misconceptions about working in an alcohol beverage. Just as one would manufacture shampoo or soap in a factory, we produce beer... It's essential to debunk the myths surrounding our industry. Despite its historical association with a male-dominated environment, we want women to feel that this is just as normal as any other organisation where we manufacture and sell products to consumers through various channels." According to Singh, in 2021, UB had a diversity ratio of 6% and by 2023 increased to 18% and across the segments, UB had 24% women at entry level, 15% at middle level and 29% at senior level as colleagues. According to Singhal, as of March 2023, UB had 2,737 employees, of which the 'executive' cohort employee strength was 1,245 and 18% were women. Singh further noted that UB launched a programme called 'The QueenFishers: The Women Behind India's Favourite Beer', under diversity and inclusion umbrella making significant infrastructural and policy changes that included 'well-equipped washrooms, sanitary pad vending machines, disposal mechanisms, restrooms and changing rooms, crèche facilities for working mothers' to accommodate a greater number of women. The women employees were assigned roles in 'production, engineering, asset care, safety, brewing quality, finance, and corporate affairs'. Singh added: "We also involve both men and women in driving change and have established the D&I Council to work on diversity and inclusion. This council represents both genders, and communicates independently with the organisation to promote awareness and consciousness among the employees."

In March 2024, UB launched a new product 'Queenfisher', a premium lager beer from the House of Kingfisher, in Goa, with a tag line 'Queenfisher: The Queen of Good Times'. According

to the company, the new product was an 'initiative to honour women in our lives who fostered bonds of sisterhood through friendship and choice' (**Exhibit I**).

Exhibit I

UB's Queenfisher Lager Beer: The Queen of Good Times



Source: "HEINEKEN's United Breweries launches Queenfisher to celebrate sisterhood", <https://www.storyboard18.com/advertising/heinekens-united-breweries-launches-queenfisher-to-celebrate-sisterhood-26193.htm>, March 12th 2024

UB further noted: "Rooted in the ethos of Kingfisher, Queenfisher provides a safe space for meaningful and honest conversations, recognizing that women often face harsher judgments in society... Queenfisher Lager Beer can is competitively priced at INR 80 per 500ml and readily available at leading outlets across Goa. This new addition to the portfolio of Kingfisher will also be available across other cities in the coming months."

According to Barbara Annis (Annis), Founding Partner of Gender Intelligence Group⁶, "Companies keep on doing the same thing over again each year, hoping for different results... For some of these programmes, the goal seems to be the appearance of caring about increasing diversity and hoping something sticks. They are not linked to the financial goals of the company and lack the full support of top leadership."

Siân Harrington, Co-founder & Editorial Director at The People Space⁷ noted that "So, have things changed in the years since my interview with Annis? Well, according to a release from employee retention platform Peakon this week, a meagre 6.6% of the chief executives in the Fortune 500 index are female and in the London-based FTSE 100 there are more bosses named Steve than there are women. I think I can be confident in saying, therefore, that the short answer is no... It is clear so much more needs to be understood when it comes to diversity and inclusion in business. Companies are jumping into implementing initiatives too early rather than really understanding the root causes in their businesses. In which other part of an organisation would senior management continue to invest resources in programmes that don't deliver the promised results in order to tick the relevant box? It may be unpalatable to all the CEOs, HR directors and diversity leaders out there, but the truth is this is an area where companies appear to have accepted failure."

⁶ An organisation involved in creating gender-intelligent organizational cultures that understand, value, and engage the unique abilities inherent within each individual.

⁷ A content creator and curator that focuses on simplifying the trends and technologies of HR and people leaders.

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